

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **U.S. GDP grew 2.5%** last year, slower than the 3.2% growth in 2023 but still at a sturdy pace, as a strong labor market helped to power consumers' spending in the fourth quarter. **A1**
- ◆ **Major U.S. stock indexes** advanced, with the S&P 500, Dow industrials and Nasdaq gaining 0.5%, 0.4% and 0.3%, respectively. **B9**
- ◆ **Trump advisers are** considering several means to avoid enacting the tariffs on Mexico and Canada that he had pledged, even as the president reiterated that the tariffs are coming. **A2**
- ◆ **The ECB lowered** interest rates by a quarter point and signaled more cuts to come, aiming to bolster a stagnant eurozone economy. **A8**
- ◆ **Apple's iPhone sales** fell in the all-important December quarter, a sign that its artificial-intelligence software has yet to kick off a new cycle of growth for its most valuable product. **A1**
- ◆ **The Justice Department** sued to block the tie-up of Hewlett Packard Enterprise and Juniper Networks, a proposed \$14 billion merger between providers of wireless networking solutions. **B1**
- ◆ **OpenAI is in early talks** to raise as much as \$40 billion in a funding round that would value the ChatGPT maker at \$300 billion. **B1**
- ◆ **Amazon is increasing** ad spending on X, people familiar with the situation said, after pulling much of its advertising more than a year ago. **B1**
- ◆ **Southwest posted** a profit for the fourth quarter as holiday bookings were better than expected on the back of strong travel demand. **B2**

World-Wide

- ◆ **A midair collision** between an American Airlines flight and an Army helicopter over the Potomac River killed all 67 people on the two aircraft, officials said, leaving investigators to analyze what caused the nation's deadliest aviation disaster in 23 years. **A1, A4-5**
- ◆ **Trump blamed** diversity, equity and inclusion programs and Democrats for the collision without citing evidence to support his assertions. **A4**
- ◆ **Trump's choices** for the leaders of national intelligence, the FBI and health faced sharp questioning from senators during their confirmation hearings. **A3**
- ◆ **Hamas freed three** Israeli hostages under the Gaza cease-fire deal, but Israel briefly suspended the release of Palestinian prisoners after crowds of screaming men mobbed two of the captives. **A7**
- ◆ **An Iraqi man who** triggered violent international protests when he burned a Quran in Stockholm in 2023 was shot and killed in Sweden, a death the prime minister suggested could be linked to a foreign power. **A8**
- ◆ **A U.S. appeals court** ruled against a federal law setting an age limit of 21 to buy handguns, finding it violated the Second Amendment. **A2**
- ◆ **Uganda reported** an outbreak in Kampala of an unusual strain of the Ebola virus, raising concerns that the disease might spread through the capital. **A16**
- ◆ **Died: Marianne Faithfull**, 78, rock star and muse. **A16**
- ◆ **Dick Button**, 95, figure skating champion. **A2**

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Air Collision Over Potomac Kills 67



Search-and-rescue teams retrieved debris from the Potomac River on Thursday after the previous night's aircraft collision.

Army helicopter on training flight at time of crash with airliner; no survivors

By JOSEPH DE AVILA

A midair collision between an American Airlines flight and an Army helicopter over the Potomac River killed all 67 people on the two aircraft, officials said Thursday, leaving investigators to piece together what caused the nation's deadliest aviation disaster in 23 years. An American Airlines regional jet flying from Wichita, Kan., collided with a Sikorsky UH-60 helicopter in Washington just before 9 p.m. Wednesday on approach to Ronald Reagan Washington National Airport. The victims of the accident included a group of figure skaters on the airliner. At the time, the military helicopter was conducting a training exercise along the Potomac, one of the most congested airspaces in the U.S. President Trump sought to tie the collision to his efforts to dismantle diversity, equity and inclusion programs within the federal government. As the American Airlines flight was descending, air traffic control asked the pilots of the Army Black Hawk helicopter if they saw the commercial plane. The controllers instructed the helicopter to pass behind the jet just moments before the two aircraft collided, according to audio transmissions of the exchange. It couldn't be determined if the Black Hawk heard or acknowledged the request to keep an eye out for the jet. The cause of the collision was under investigation. A preliminary report will be ready in about 30 days, the National Transportation Safety Board said.

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- ◆ **Political jostling fueled** congestion at Reagan.... **A4**
- ◆ **With no evidence, Trump** blames DEI for crash..... **A4**
- ◆ **Tragedy crushes elite** world of skating..... **A5**

Washington's Jam-Packed Airspace Has Prompted Warnings for Years

More than 700 planes had already taken off and landed at Reagan National Airport on Wednesday when American Airlines flight 5342 approached it through one of the nation's most congested air corridors.

By Vera Bergengruen, Jack Gillum, Alison Sider and Gordon Lubold

As officials scramble to determine the cause of the crash, the catastrophe is drawing new attention to long-standing safety warnings about the increasingly busy airspace above the nation's capital. Reagan sits on just 733 acres of land along the Potomac River, across from downtown Washington and the military's Joint Base Anacostia-Bolling. Space is so tight that federal regulators dole out takeoff and landing rights. The airport's convenience and close proximity to the Capitol have made it irresistible to Washington's politi-

cians. Over the years, lawmakers have lobbied to open access and add more flights, often to make quick jaunts to their home states easier. Last year, after a fierce debate over whether the airport could absorb more flights, Congress authorized more flights, which were awarded to five airlines proposing to fly to San Antonio, San Diego, Seattle, Las Vegas and San Francisco. Adding to the crowded airspace are helicopters that criss-cross the Potomac every day, many of them military flights from the Pentagon and other government agencies ferrying officials or other pas-

sengers and cargo around Washington. Officials and commercial and military pilots have warned that the airspace leaves little margin for error. "We're dealing with an extraordinarily complex airspace system that has been complicated even worse by the addition of flights to National Airport," said Keith Meurlin, a retired Air Force major general and head of the Washington Airports Task Force. "At what point is enough enough?" Pilots have been complaining for decades about the

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Apple's iPhone Sales Shrink as Its Investors Await a Payoff From AI

By AARON TILLEY

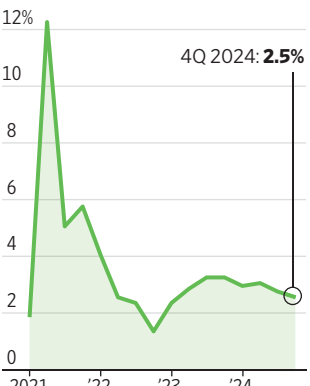
Apple's iPhone sales fell in the all-important December quarter, a sign that its artificial-intelligence software has yet to kick off a new cycle of growth for its most valuable product. Apple reported iPhone sales for the December quarter were down nearly 1% from the prior year to \$69.1 billion, a miss from the \$70.7 billion analysts were projecting, according to FactSet. Apple's total revenue was \$124.3 billion, growing almost 4% from the same quarter last

year. Net income was \$36.3 billion, up more than 7% from the prior year. Analysts, on average, projected revenue of \$124.3 billion and a net income of \$35.6 billion. The company reported a sales drop in China of more than 11% to \$18.5 billion, missing the \$20.9 billion analysts expected. Kevan Parekh, Apple's newly appointed chief financial officer, said the company saw better iPhone 16 sales in markets where its new AI tools, called Apple Intelligence, were launched. In December, Apple

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U.S. Economy Grew 2.5% in '24, Slowing Slightly in Last Quarter

GDP, change from the same quarter a year earlier



Source: Commerce Department

By HARRIET TORRY

The U.S. economy grew last year at a solid clip, boosted by consumers who just kept spending. U.S. gross domestic product—the value of all goods and services produced across the economy—grew 2.5% last year, the Commerce Department said Thursday. That was slower than 3.2% in 2023 but still a sturdy pace. Economic issues loomed large in 2024, when data showed a strong economy but many consumers disagreed. Voters, angry about high prices, booted Democrats out

of the White House. But inflation cooled, and the job market remained strong. The year-over-year GDP growth reflects the fourth-quarter change from a year earlier. Economists surveyed by The Wall Street Journal and the Federal Reserve use that metric for forecasts. The Fed expects the economy to grow 2.1% this year and 1.8% in the longer run. By a separate measure of growth, the nation's total output for 2024 grew 2.8% last

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- ◆ **Trump aides hunt for deal** to dial back tariff threat... **A2**

I've Never Been Tied to a Chair: Hit Show Mystifies Oil Workers

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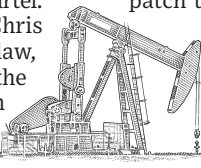
Real-life landmen have to assure relatives they're better off than Billy Bob Thornton

By BENOÎT MORENNE

In the first episode of "Landman," protagonist Tommy Norris makes his first appearance tied up to a chair, a burlap sack over his head as he negotiates an oil deal with members of a drug cartel. That's when Chris Yonker's mother-in-law, who was watching the show with him in Houston, chimed in. "Is this something that ever happens to you?" she asked Yonker, a 47-year-old landman based in San Antonio. Since "Landman" started streaming on Paramount+, landmen—who help oil and gas producers secure drilling

rights—have been inundated with calls and texts from friends and family suddenly eager to learn all about their job. In the show, the chain-smoking Norris, played by Billy Bob Thornton, clocks oil patch thugs, puts out literal fires, and spars with lawyers, police officers and his glamorous ex-wife. Early on the foul-mouthed Norris races to the site of a well explosion that killed three men. "This is a patch," he tells his boss at one point. "An airplane full of drugs being run over by an oil tanker ain't news, it's just an

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Plot hole

What Secret Police Saw as Syria Fell

Documents show Assad's spies struggling to understand rebel advance

Days after rebels routed the Syrian army from a major city in the north, a five-page report landed on the desk of military-intelligence officers in Damascus with an alarming diagnosis.

By Isabel Coles, Jared Malsin and Asmaa Al-Omar

Elite troops sent to bolster Aleppo's defenses had been forced to retreat as the regime's army withdrew "in a crazy and spontaneous way." Soldiers fled "in a hysterical manner," leaving weapons and military vehicles behind, read the postmortem from a senior

military-intelligence officer in the city dated Dec. 2. By then, fighters for Hay'at Tahrir al-Sham, or HTS, already had a second city in their sights. As they gained ground in following days, reports rolled into the eight-story concrete headquarters of Branch 215, a feared part of Syrian dictator Bashar al-Assad's vast security apparatus, in central Damascus. The reports detailed the speed and direction of rebel advances—and increasingly frantic plans and orders aimed at slowing their progress. The trove of thousands of pages of top-secret intelligence

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INSIDE



MANSION

Park Avenue co-ops lose their luster for a new generation of wealthy buyers. **M1**

BUSINESS & FINANCE

Round of fundraising talks led by SoftBank values OpenAI at \$300 billion. **B1**